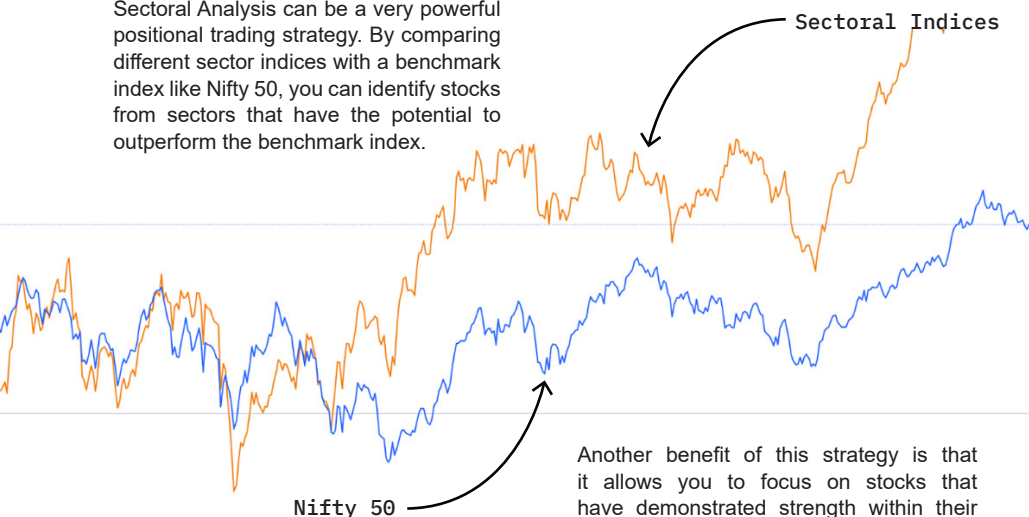


After selecting the Nifty FMCG index, you will see a similar image as the above. Now that you know that ITC has 32.04% weightage or the highest weightage in the Nifty FMCG index, go to your charting software and search for the particular stock and buy the same.

In the above example, the Nifty FMCG index had already crossed above the Nifty 50 and we could've bought the stock 4-5 months ago. You just have to use the same procedure and constantly compare multiple sector indices with Nifty 50 and upon seeing a familiar setup, buy the stock which has the highest weightage in that particular sector.

CONCLUSION

Combining Relative Strength with Sectoral Analysis can be a very powerful positional trading strategy. By comparing different sector indices with a benchmark index like Nifty 50, you can identify stocks from sectors that have the potential to outperform the benchmark index.



Another benefit of this strategy is that it allows you to focus on stocks that have demonstrated strength within their particular sectors.

